

February 13, 2026

HEALTHCARE/BIO TECHNOLOGY

Stock Rating:

OUTPERFORM

12-18 mo. Price Target	\$540.00
VRTX - NASDAQ	\$465.02

3-5 Yr. EPS Gr. Rate	NM
52-Wk Range	\$519.68-\$362.50
Shares Outstanding	254.0M
Float	252.9M
Market Capitalization	\$117,984.3M
Avg. Daily Trading Volume	1,421,930
Dividend/Div Yield	NM/NM
Book Value	\$68.20
Fiscal Year Ends	Dec
2027E ROE	21.5%
LT Debt	\$1,753.0M
Preferred	\$0.0M
Common Equity	\$17,319M
Convertible Available	Yes

EPS	Q1	Q2	Q3	Q4	Year	Mult.
2021A	2.98	0.17	3.51	3.02	9.67	48.1x
2022A	3.52	3.60	4.01	3.76	14.88	31.3x
2023A	3.05	3.89	4.08	4.20	15.23	30.5x
2024A	4.76	(12.83)	4.38	3.98	0.42	NM
2025A	4.06	4.52	4.80	5.03	18.40	25.3x
Prior (E)	—	—	—	4.65	17.91	26.0x
2026E	—	—	—	—	18.05	25.8x
Prior (E)	—	—	—	—	19.55	23.8x
2027E	—	—	—	—	20.20	23.0x
Prior (E)	—	—	—	—	21.92	21.2x
Revenue (\$/mil)	Q1	Q2	Q3	Q4	Year	Mult.
2021A	1.7B	1.8B	2.0B	2.1B	7.6B	15.1x
2022A	2.1B	2.2B	2.3B	2.3B	8.9B	12.8x
2023A	2.4B	2.5B	2.5B	2.5B	9.9B	11.6x
2024A	2.7B	2.6B	2.8B	2.9B	11.0B	10.4x
2025A	2.8B	3.0B	3.1B	3.2B	12.0B	9.5x
Prior (E)	—	—	—	3.1B	11.9B	9.9x
2026E	—	—	—	—	12.3B	9.3x
Prior (E)	—	—	—	—	12.2B	9.6x
2027E	—	—	—	—	13.4B	8.5x
Prior (E)	—	—	—	—	13.5B	8.7x

Vertex Pharmaceuticals

Scaling a New Vertex; Upgrade to Outperform

SUMMARY

We upgrade VRTX from Perform to Outperform with a \$540 price target, reflecting our refreshed view on the setup progressing into 2026. Most important, we're optimistic about povetacicept and inaxaplin, as both hold blockbuster potential and could establish a dominant renal franchise to diversify VRTX's longer-term revenue streams. While uncertainty around Journavx's launch and commercial trajectory previously kept us on the sidelines as the major focus last year, we believe 2026 expectations have now been reset with better-than-expected performance and the DPN opportunity providing additional upside potential to our new price target. Finally, we continue to view the CF franchise as a solid pillar of growth with limited near-term concerns around LOE or competitive headwinds. See our additional discussion below and in Exhibits 1-18.

KEY POINTS

- **Renal portfolio coming under the spotlight.** We see 2026 as an inflection year for VRTX's emerging renal franchise, with key clinical/regulatory updates expected for both povetacicept and inaxaplin, which we see as important near-term value drivers. Specifically, we expect povetacicept and inaxaplin to contribute ~\$6.6B in revenue by 2035, accounting for ~26% of our forecasted total revenue of \$25.8B.
- **We think the stock is skewed to upside with upcoming pove update in IgAN,** as the program has been largely derisked. We see +5-10% potential upside if pove demonstrates 45-50% UPCR reduction at week 36, with additional upside potential for greater reductions. Pove's emerging clinical profile and ease of administration, coupled with VRTX's strong execution and commercial capability, position the program favorably within the competitive landscape.
- **Journavx remains a show-me story, as our sales estimates are below consensus.** That said, we believe the expectations on Journavx have been reset, and the Journavx/pain franchise could provide incremental upside to our new \$540 PT, particularly in the context of expanded access and volume growth in 2026 and Ph3 DNP update expected in early 2027. Near-term focus for Journavx remains on volume growth.
- **CF franchise provides a solid foundation for the business well into the late 2030s.** While the pace of CF growth may slow down, we think additional factors, including expansion into younger patients and new geographies, along with longer life expectancy for CF patients, should support the longevity of the franchise, as we don't see meaningful competitive pressure. The sustained cash flow outlook provides significant optionality for VRTX.
- **VRTX reported steady 4Q25 financials,** with FY26 total revenue guidance of \$12.95-13.10B largely in line with the consensus estimate of \$13.0B. Full-year revenue guidance reflects expectations for continued CF growth, likely driven by Alyftrek. Non-CF products are expected to contribute at least \$500M, and we expect a greater contribution from Casgevy than from Journavx. The timing for key catalysts remains unchanged.

Jay Olson, CFA

212-667-8126

Jay.Olson@opco.com

Cheng Li, Ph.D., CFA

212-667-7187

Cheng.Li@opco.com

Matthew Hershenhorn, CFA

212-667-7590

Matthew.Hershenhorn@opco.com

Amanda Vera

212-667-6679

Amanda.Vera@opco.com

Disseminated: February 13, 2026 06:40 EST; Produced: February 13, 2026 06:40 EST

Oppenheimer & Co. Inc. does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

For analyst certification and important disclosures, see the Disclosure Appendix.

Stock Price Performance

1 Year Price History for VRTX



BASE CASE ASSUMPTION

- As-expected vanzacaftor launch and switching, supporting continued growth of VRTX's CF franchise
- Key programs in the renal portfolio, including povetacept and inaxaplin, show competitive clinical profiles that support approval

UPSIDE SCENARIO

- Vertex continues to secure broad reimbursement with increased market penetration for CF franchise more rapidly than expected; additional successes from its CF pipeline
- Better-than-expected commercial performance for Jounavx and positive updates from the pain franchise
- Additional de-risked opportunities for povetacept and inaxaplin

PRICE TARGET CALCULATION

Our \$540 12- to 18-month price target for VRTX is based on a DCF valuation. We assume a WACC of 8% and a residual growth rate of -1%. We see VRTX's top-line growing to ~\$26B in 2035 (vs. \$12B in 2025) with more diversified product sales, which includes our risk-adjusted revenue forecasts for key pipeline opportunities, including povetacept, inaxaplin, zimislecel, and additional CF follow-on programs.

KEY RISKS TO PRICE TARGET

We believe the greatest risks to VRTX's stock is any disruption in the continued success of established CF franchise and clinical/regulatory setback on key pipeline programs namely povetacept or inaxaplin.

COMPANY DESCRIPTION

Vertex is a global biotechnology company discovering, developing, and commercializing innovative medicines for serious diseases.

INVESTMENT THESIS

We rate **Vertex (VRTX) Outperform** as we are optimistic about the prospects of VRTX's emerging renal portfolio with near-term pivotal study readouts and potential approvals for povetacept and inaxaplin, both represent significant commercial opportunities that could diversify the company's revenue streams. Meanwhile, we believe VRTX's core CF franchise remains strong, with no near-term concerns around LOE or competitive pressure, providing a solid base for the business.

CATALYSTS

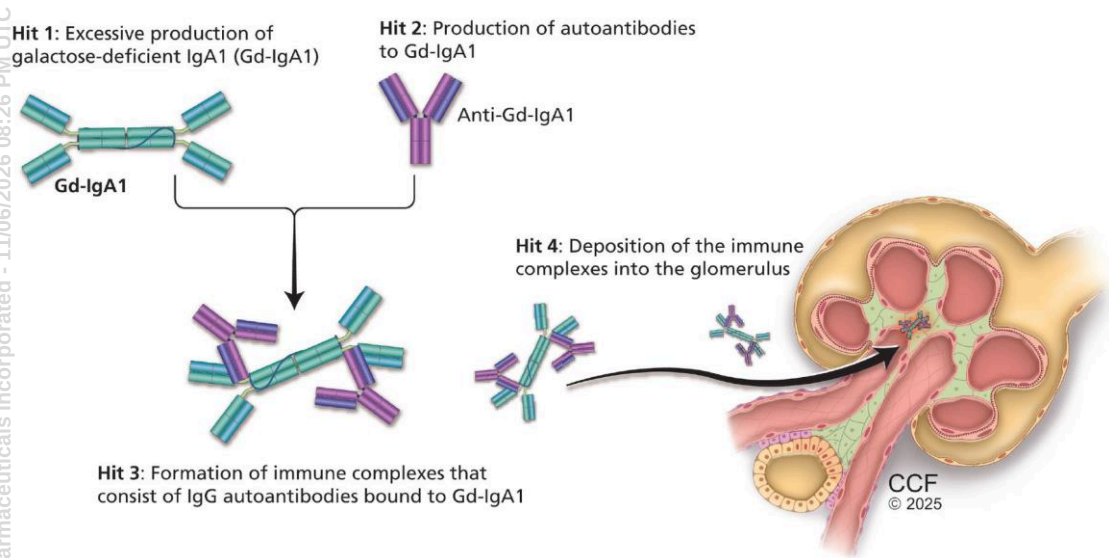
- **1H26:** Results from the Ph3 interim analysis cohort for povetacept in IgAN with subsequent completion of filing for accelerated approval

DOWNSIDE SCENARIO

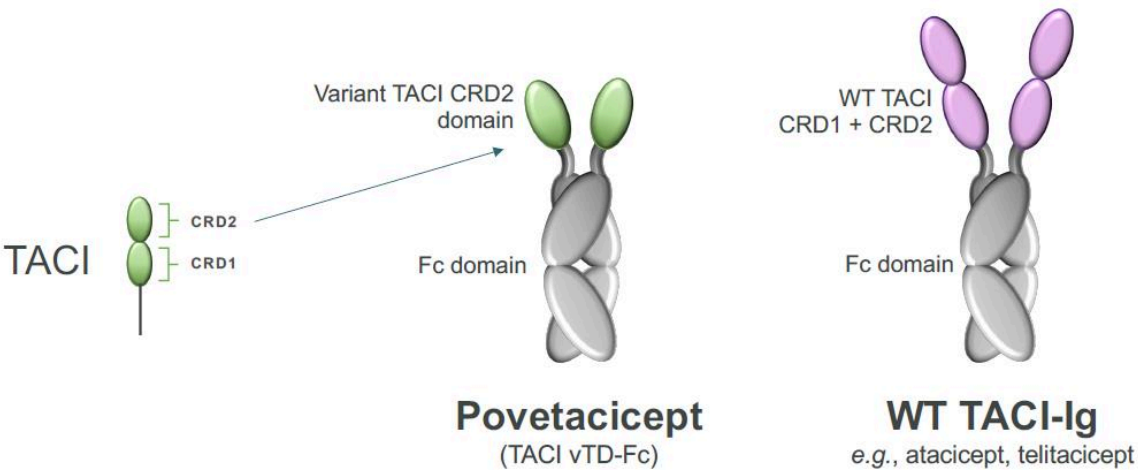
- Failure to secure CF regulatory approvals and/or reimbursements in ex-US territories
- Povetacept/inaxaplin unable to generate meaningful revenues due to clinical/regulatory setbacks or competitive pressure

Exhibit 1: Pove Could Show Best-in-Class Profile in IgAN

Four-Hits hypothesis of IgAN pathogenesis supports targeting both BAFF and APRIL to address the root cause of the disease



Pove is structurally distinct from wild-type TACI-Ig, with higher potency and better tissue penetration, allowing an use of a lower dose in the clinic



	Povetacept		WT-TACI Fc	
	Potency IC50 (nM)	Affinity KD (S-1)	Potency IC50 (nM)	Affinity KD (S-1)
APRIL	3.8	7.0 e-3	>200	NA
BAFF	1.4	3.67 e-5	20.8	8.63 e-5
APRIL+BAFF	3.1	/	>200	/

Source: Ramsawak *Cleaveland Clin. J. Med.*, 2025; Company Information; Oppenheimer Research

Exhibit 2: Results from Other B Cell-Targeting Agents Set the Bar

Overview	Company	Vertex	Vera	Otsuka	Remegen/Vor
	Drug	Povetacicept	Atacicept	Sibeprenlimab	Telitacicept
	Mechanism	BAFF+APRIL	BAFF+APRIL	APRIL	BAFF+APRIL
	Dose	80mg subQ Q4W	150mg subQ QW	400mg subQ Q4W	240mg subQ QW
	Stage	Ph3 Ongoing	PDUFA: 7/7/2026	Approved in Nov. 25	BLA filed in China
	N	21	106 vs. 97	152 vs. 168	159 vs. 159
Efficacy	Proteinuria reduction	-57% @ Wk-36 -64% @ Wk-48	-46% @ Wk-36 (-42% pbo-adj.)	-50% @ Wk-40 (-51% pbo-adj.)	-59% @ Wk-39 (-55% pbo-adj.)
	eGFR Change (mL/min/1.73m2)	3.3	NA	NA	
	Gd-IgA1 reduction	-77% @ Wk-48	-68% @Wk-36 (-67% pbo-adj.)	-64% @ Wk-24 -67% @ Wk-48	
Safety	AE	76%	59% vs. 50%	74% vs. 82%	
	Grade ≥3	5%	1.4% vs. 4.2%		
	SAE	5%	0.5% vs. 5.1%	3.5% vs. 4.4%	
	Hypogamma	5%	0%	6%	
	Infection	43%	32% vs. 28%	49% vs. 45%	
Study		RUBY-3	ORIGIN-3	VISIONARY	TELIGAN (China)

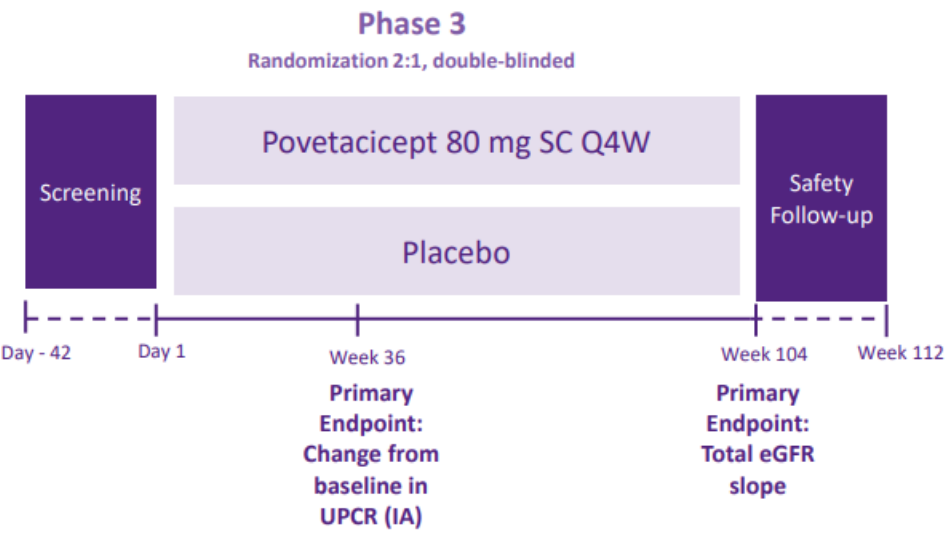
- Recent atacicept and sibeprenlimab Ph3 readouts set the bar for pove, with a focus on UPCR and safety profile for the upcoming interim readout
- We expect additional differentiating factors coming from eGFR change in the coming months/years
- In addition, we think anti-drug antibody levels may be worth watching, as immunogenicity could be a potential concern for sibeprenlimab (34% evaluable patient developed ADA, among which ~24% developed neutralizing ADA) based on the label

Source: Company Information; Oppenheimer Research

Exhibit 3: We Expect at Least 45% UPCR Reduction at Week-36 for Pove

As results from the interim analysis of the RAINIER study are on the horizon, we think the bar for UPCR should be around **45% at week-36, with a relatively consistent and comparable safety profile** on infection rate, hypogammaglobulinemia; UPCR >50% would support its more differentiated profile, in our view

RAINIER Study Design
We expect interim analysis in 1Q to support US filing completion in 1H26



Overall, we think the stock is skewed to upside upon the interim analysis, and VRTX's share may come back to \$500 level with positive updates, i.e., UPCR in the 45-50% range with a consistent safety profile vs. Ph2 and other B-cell targeting agents

Scenario		Likelihood	Stock Reaction
UPCR	Safety		
>50%	Consistent	30%	>10%
45-50%	Consistent	40%	5-10%
40-45%	Consistent	20%	flat
<40%	OR safety signals emerge	10%	-10%

Source: VRTX Company Information; Oppenheimer Research

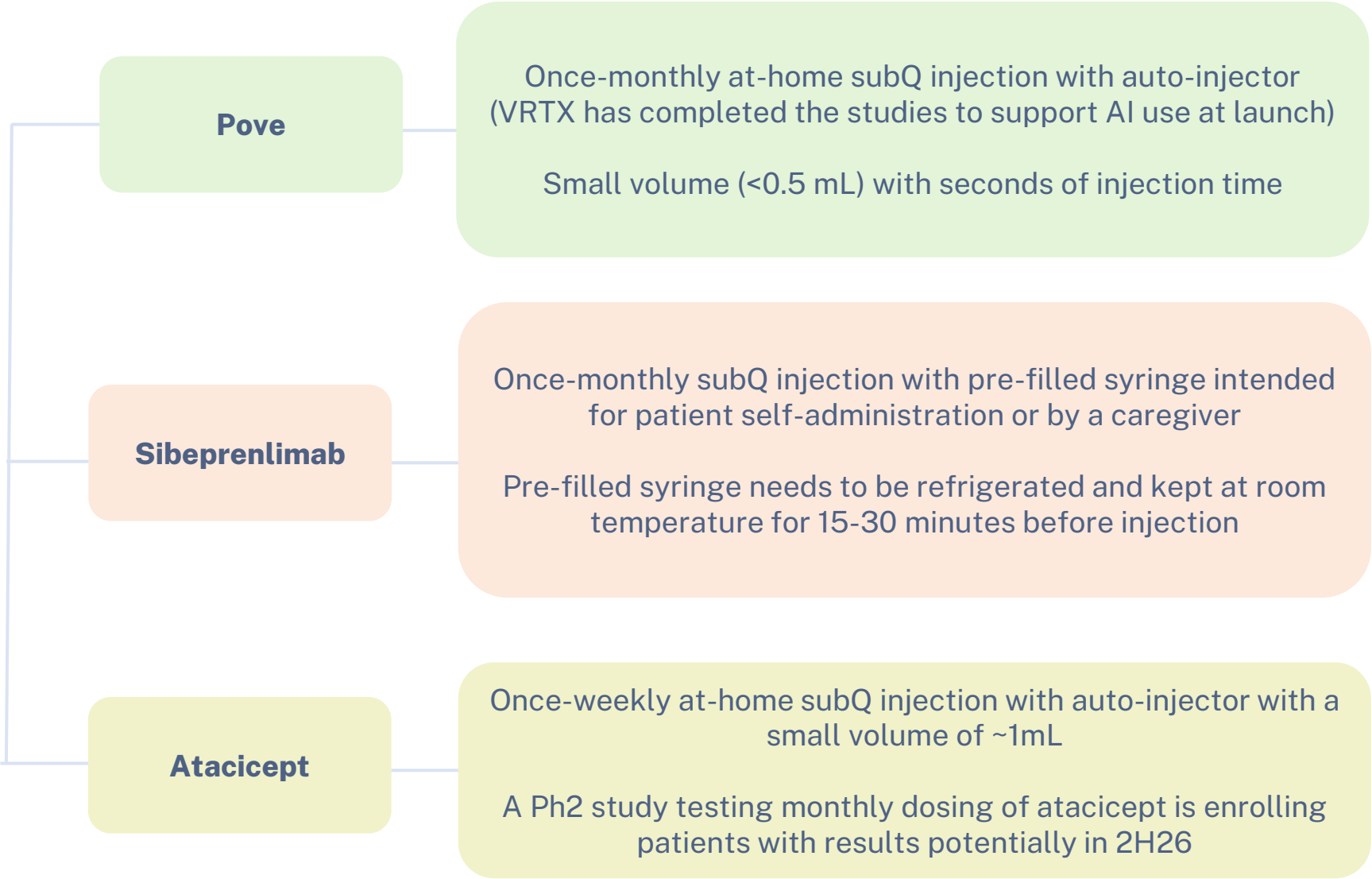
Exhibit 4: VRTX Has Significantly Closed the Development Gap for Pove in IgAN

	Pove	Atacicept	Sibeprenlimab
Ph3 Size	605	431	530
Ph3 Start	Sept. 2024	Jun. 2023	Mar. 2022
Enrollment Completion	Nov. 2025	Apr. 2025	Mar. 2024
BLA filing	1H26	Nov. 2025	Mar. 2025
FDA Decision	2H26	PDUFA: 7/7/26	Approved in Nov. 2025
Time from Ph3 Initiation to (potential) approval	25-27 months	~37 months	~44 months

- VRTX has significantly closed the development gap for pove vs. atacicept and sibeprenlimab by completing the enrollment of ~605 participants in the RAINIER study in ~15 months
- VRTX initiated a rolling BLA submission for pove in 4Q25 and plans to complete the submission in 1H26 with an intent to use a priority review voucher to expedite the review process
- Pove could be approved **25-27** months following the Ph3 study initiation, compared to **~37** months for atacicept and **~44** months for sibeprenlimab
- We think a narrowed gap for pove provides a favorable setup for its commercialization strengthened by its emerging competitive profile

Source: Company Information; Oppenheimer Research

Exhibit 5: Pove's Ease of Administration Is a Main Differentiator

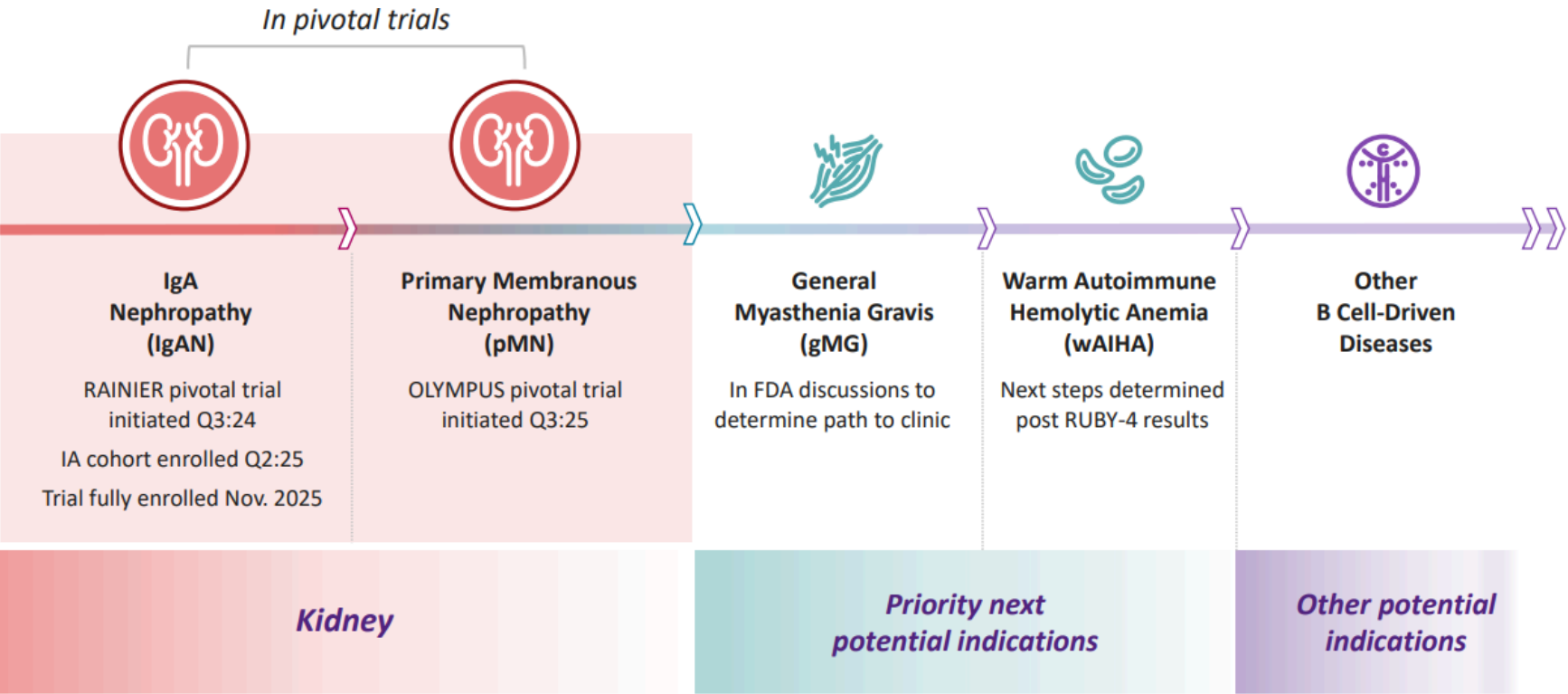


matt_shunney@vrtx.com - Vertex Pharmaceuticals Incorporated - 11/06/2026 08:26 PM UTC

Source: Company Information; Oppenheimer Research

Exhibit 6: Pove Is on Track to Deliver its Pipeline-in-a-Drug Potential

- Modulating B cell via BAFF/APRIL holds therapeutic potential in a range of autoimmune diseases, and we think pove has pipeline-in-a-drug potential with its emerging favorable profile in IgAN
- VRTX has initiated Ph2/3 OLYMPUS program for pove in primary membranous nephropathy (pMN) in 3Q25, and we believe pMN represents another attractive opportunity given that there are no FDA-approved therapies at the moment and the competition is comparatively less intense
- VRTX also plans to explore other non-kidney indications, including gMG (Ph2 trial to start in 1H26) and wAIHA



Source: VRTX Company Information

Exhibit 7: pMN Could Represent an Attractive Market



Prevalence

Roughly ~40K pMN patients in the US

Most of pMN cases are driven by anti-PLA2R auto-antibodies that accumulate in the kidney

Diagnosis

Disease onset and diagnosis occur at 40-50 years old

Most patients present nephrotic syndromes, and diagnosis is often confirmed through biopsy

Current SoC

No FDA-approved therapies for pMN

Patients are cycled through immunosuppressants (e.g. tacrolimus), rituximab, calcineurin inhibitors, but experience high risks of relapse and tolerability burdens

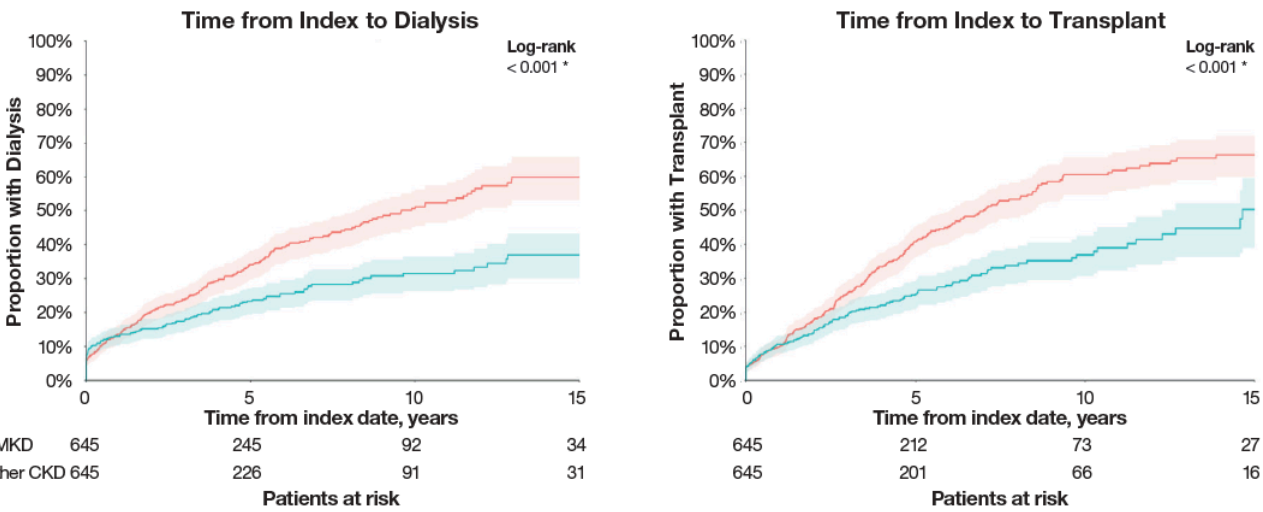
Program	Pove	Atacicept	Gazyva	Felzartamab	Telitacicept
MoA	BAFF+APRIL	BAFF+APRIL	anti-CD20	anti-CD38	BAFF+APRIL
Stage	Ph2/3 OLYMPUS	Ph2 basket trial	Ph3 MAJESTY	Ph3 PROMINENT	Ph3 (in China)
Status	Initiated in 3Q25	Recruiting	Recruitment completed	Recruiting	To be initiated
Milestone	Ph2 portion enrollment completion in 2026	Potential updates in 2026	Ph3 readouts and regulatory submission in 2026	Ph3 readout expected in 2029	First patient dose expected in 2026

Source: Company Information; Oppenheimer Research

Exhibit 8: Inaxaplin Offers Another Near-Term Blockbuster Opportunity



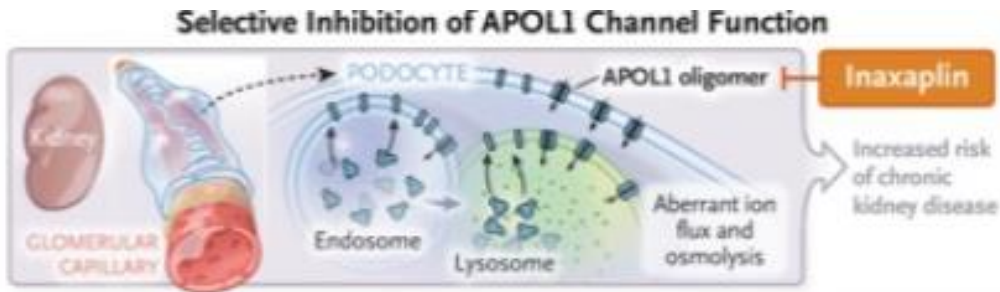
- Inaxaplin holds therapeutic potential as a precision medicine approach for CKD patients carrying two APOL1 risk variants
- A recent APOL1 genotyping global study shows that the prevalence of two APOL1 risk variants is high, particularly in North America and Europe. About 44%-50% of focal segmental glomerulosclerosis (FSGS) patients carry two APOL1 risk variants, while 21-31% of nondiabetic kidney disease (NDKD) patients carry two APOL1 risk variants. VRTX estimates a total of ~250K patients in US and EU with APOL1-demidated kidney disease (AMKD)
- In a retrospective observational study, AMKD patients progressed to dialysis and kidney transplant significantly faster than matched patients with other forms of CKD despite being younger with fewer comorbidities, highlighting critical unmet needs and the need for APOL1 testing



Years post-index	Rate of Dialysis			Rate of Kidney Transplant		
	Other CKD (N=645)	AMKD (N=645)	Relative Increase	Other CKD (N=645)	AMKD (N=645)	Relative Increase
3	17.8%	23.8%	33.3%	19.3%	25.6%	33.1%
5	23.3%	34.1%	46.0%	25.5%	40.7%	59.8%
10	31.5%	50.6%	60.9%	36.9%	60.5%	63.9%
15	37.0%	59.9%	62.0%	50.2%	66.4%	32.1%

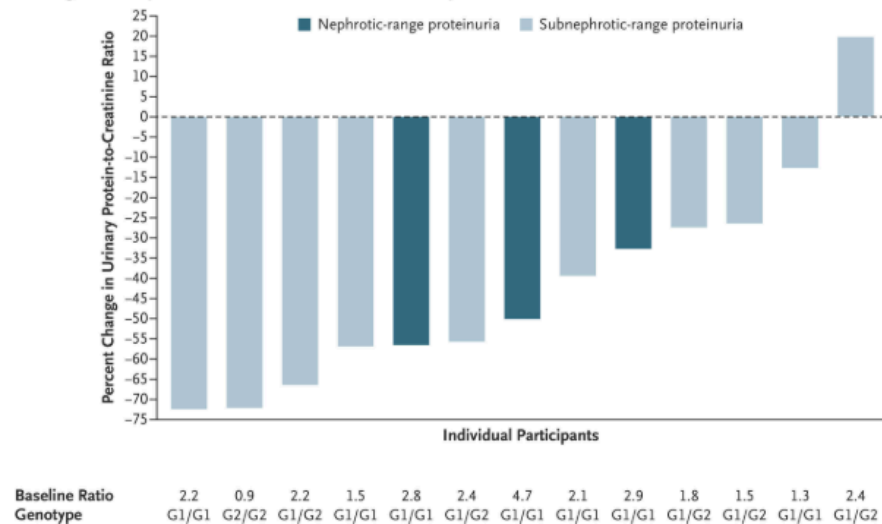
Source: Shah et al., ASN 2025

Exhibit 9: Inaxaplin Demonstrated Clear Clinical PoC in AMKD

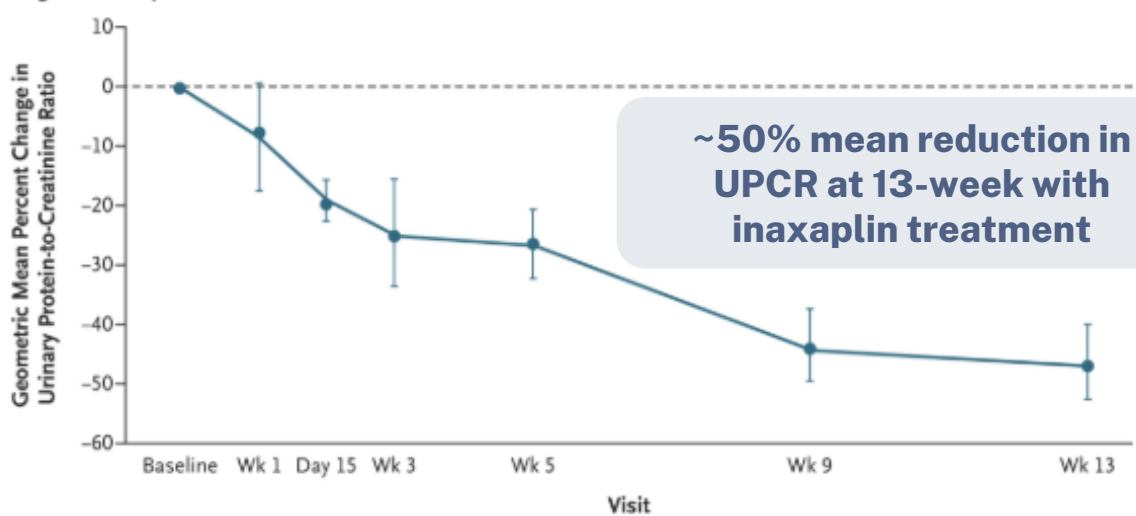


Inaxaplin is a small molecule that inhibits APOL1 protein-mediated induction of channel formation in podocytes, thereby preventing aberrant ion flux and osmolysis

A Change in Urinary Protein-to-Creatinine Ratio in Each Participant at Wk 13



B Change in Urinary Protein-to-Creatinine Ratio over Time

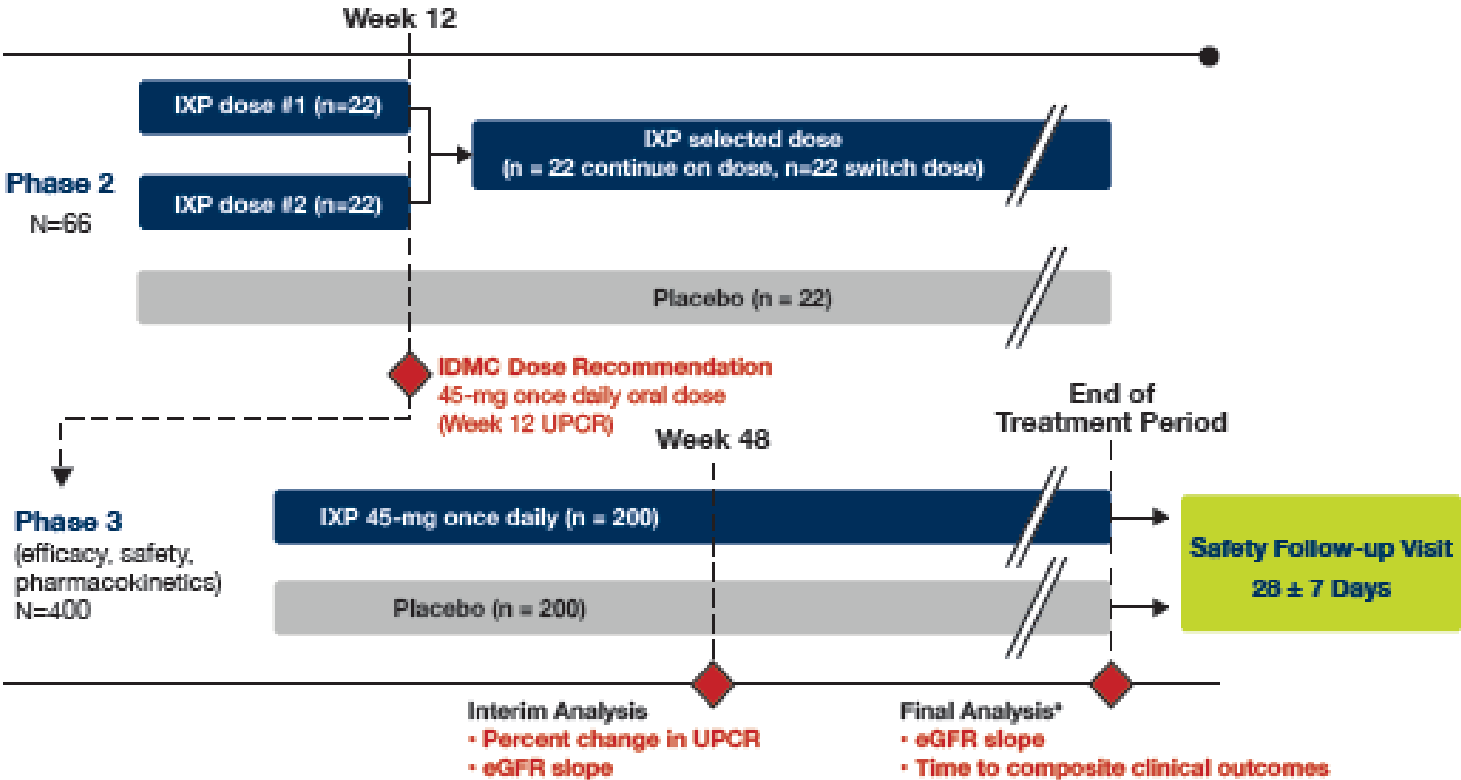


~50% mean reduction in UPCR at 13-week with inaxaplin treatment

Although the Ph2a study is small (N=13) with short treatment duration (13-week), we think the study provided encouraging clinical evidence, demonstrating that targeting aberrant APOL1 function in individuals carrying high-risk variants could reduce proteinuria and prevent disease progression

Source: Egbuna et al, NEJM 2025

Exhibit 10: AMPLITUDE Interim Data Represent Another Near-Term Major Catalyst

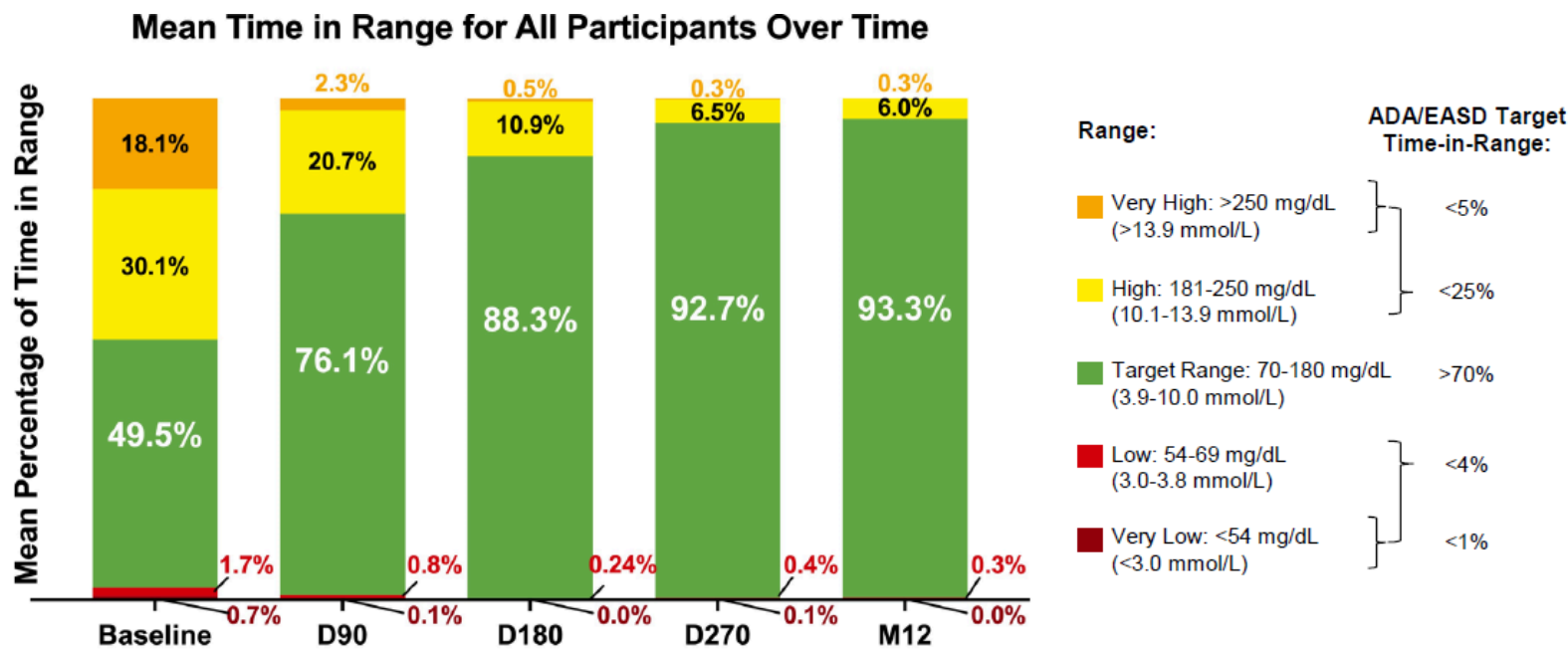


- Ph2/3 AMPLITUDE study has an adaptive design, and 45mg QD dose of inaxaplin was selected by IDMC for Ph3 portion (same as Ph2a)
- Compared to the Ph2a study (in FSGS patients), AMPLITUDE enrolls a broader proteinuria kidney disease population carrying two high-risk APOL1 variants
- A separate Ph2 AMPLIFIED basket study is designed to evaluate inaxaplin in an expanded population of AMKD patients

VRTX completed enrollment in the interim analysis cohort of the AMPLITUDE study in Sept. 2025. Results from interim analysis at 48 weeks expected in late-26/early-27 should support potential US accelerated approval for inaxaplin

Exhibit 11: We Remain Encouraged By Zimislecel's Profile

- Longer follow-up from the Ph1/2 study suggested that all 12 participants had improvement in glycemic control
- All 12 participants had elimination of SHEs from Day 90 through Day 365 and with HbA1c <7%
- The pivotal Ph1/2/3 study was temporarily postponed dosing of patients, as VRTX is conducting internal manufacturing analysis
- We expect dosing to be resumed once the internal review is complete, and we remain excited about zimislecel's profile

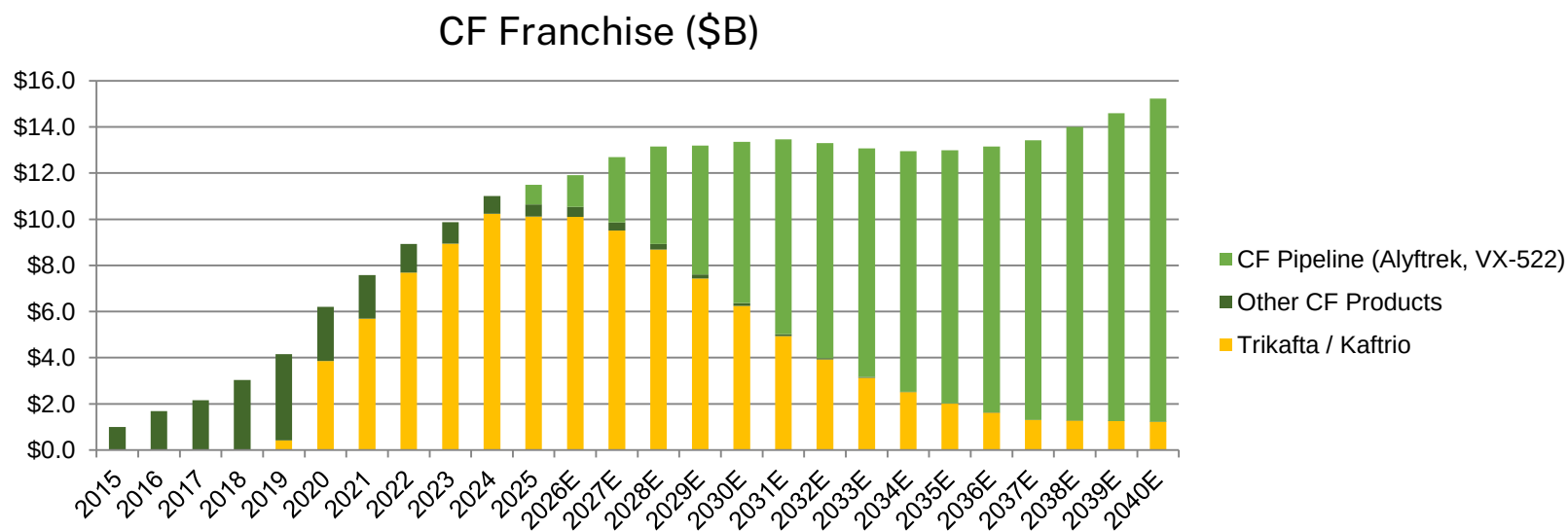


We expect the initial target patient population to be ~60K T1D patients with recurrent SHEs, and gradually expand to less severe patients based on out KOL feedback

Source: VRTX Company Information

Exhibit 12: New Launches – CF Portfolio

- VRTX’s CF franchise has been historically strong with five globally commercialized medicines that could target ~95% of all CF patients. We expect the CF franchise to generate ~\$13.4B revenues in 2030E (vs. consensus \$15.6B)
- While we continue to view the CF franchise to be strong without major near-term competitive or LoE concerns, the growth of the CF franchise may moderate with near-term focus being patient switching to Alyftrek from Trikafta
- That said, several factors, including additional geographic expansion (including Brazil, Mexico, Turkey) and potential approvals for younger patients, could provide further upside to the CF franchise. In addition, the market is expanding as CF patients are living longer with these innovative medicines (median predicted age of survival for those born between 2020 to 2024 now reaches 65 years, vs. just 30 years for those born in the 1980s). In an essence, VRTX has shifted CF from a fatal genetic disease to a chronic disease
- Additional pipeline programs, including VX828 (next-generation 3.0 program) and VX-522 (mRNA program) provide optionality

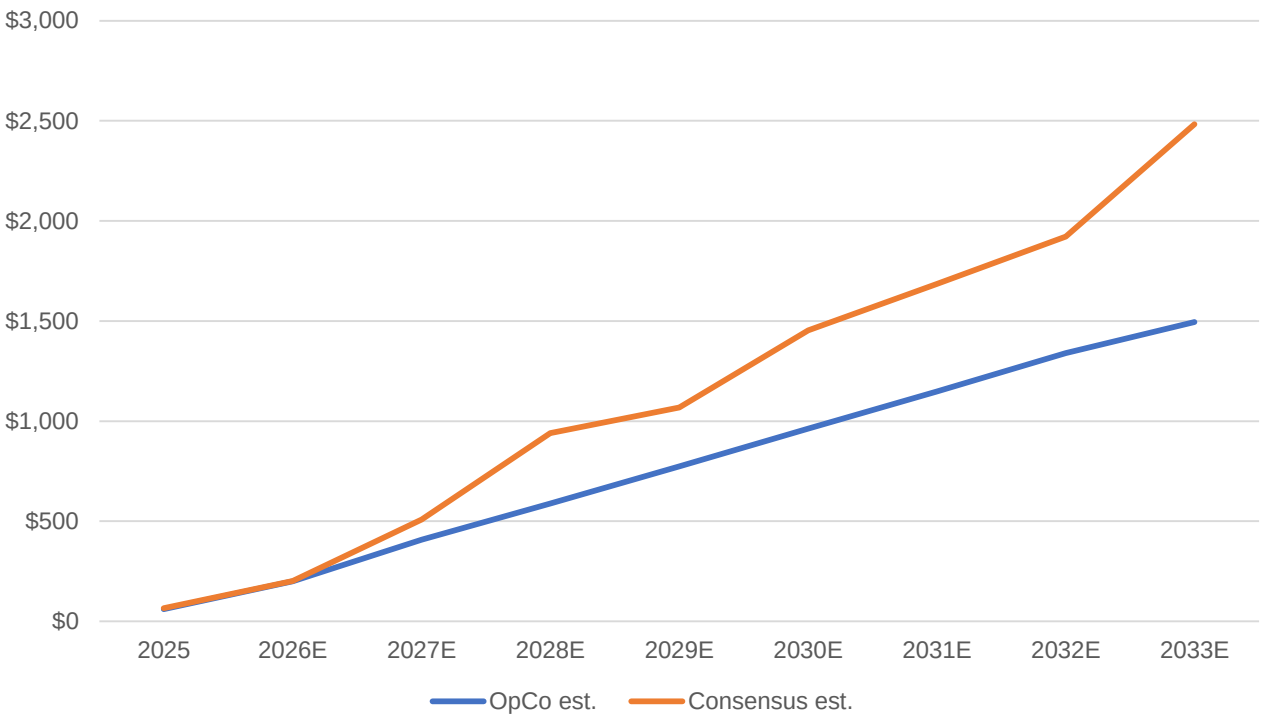


Source: VRTX Company Information; Oppenheimer Research

Exhibit 13: New Launches – Journavx

- Overall, our thesis on Journavx remains consistent and we think Journavx remains a show-me story, as our sales estimates are below consensus
- With expectations on Journavx likely being reset now, Journavx may potentially represent the biggest upside to our current model
- Near-term focus remains on access, making sure a smooth prescription and adoption, and we will continue to focus on volume growth. Meanwhile, VRTX expects the GtN to be more stabilized into 2027 as PSP winds down
- Results from suzetrigine Ph3 studies in DPN (enrollment completion by year-end 2026) likely in early-2027 may be a key inflection point for VRTX’s pain portfolio, and we expect update from Ph2 program of VX-993 in DPN

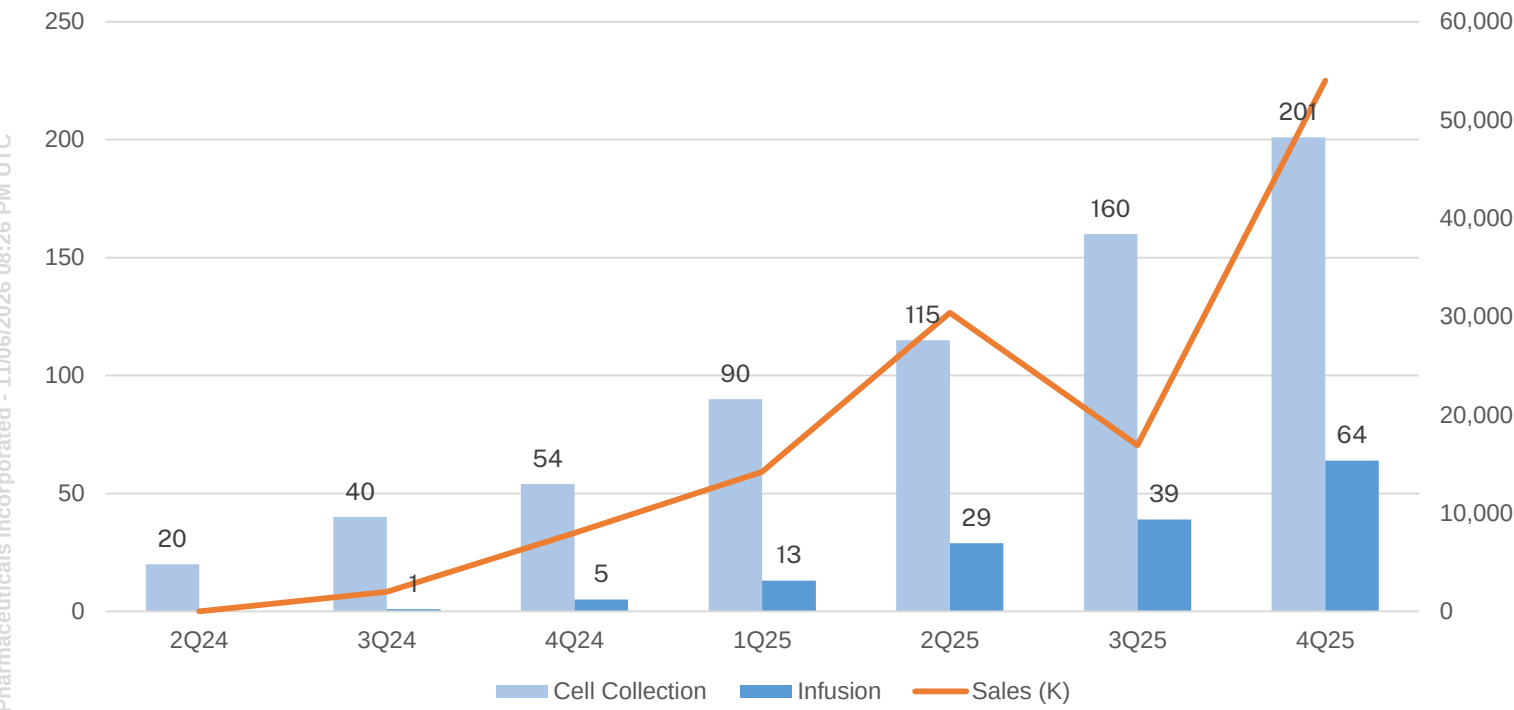
OpCo vs. Consensus Estimate of Journavx (\$M)



Source: VRTX Company Information; Oppenheimer Research

Exhibit 14: New Launches - Casgevy

Casgevy Launch Metrics



- Over 60 patients have received Casgevy infusions by year-end 2025, and VRTX realized its goal for >\$100M Casgevy revenue in 2025 (\$116M)
- We continue to view the number of cell collection as a lead indicator of Casgevy and patients interest
- With the ATC network and reimbursement policy largely in place, we expect cell collection and infusions to accelerate, supported by familiarity with the process and positive feedback
- The investment required for establishing the network and infrastructure also suggests high entry barrier
- The FDA awarded a CNPV for Casgevy in pediatric population

Source: VRTX Company Information; Oppenheimer Research

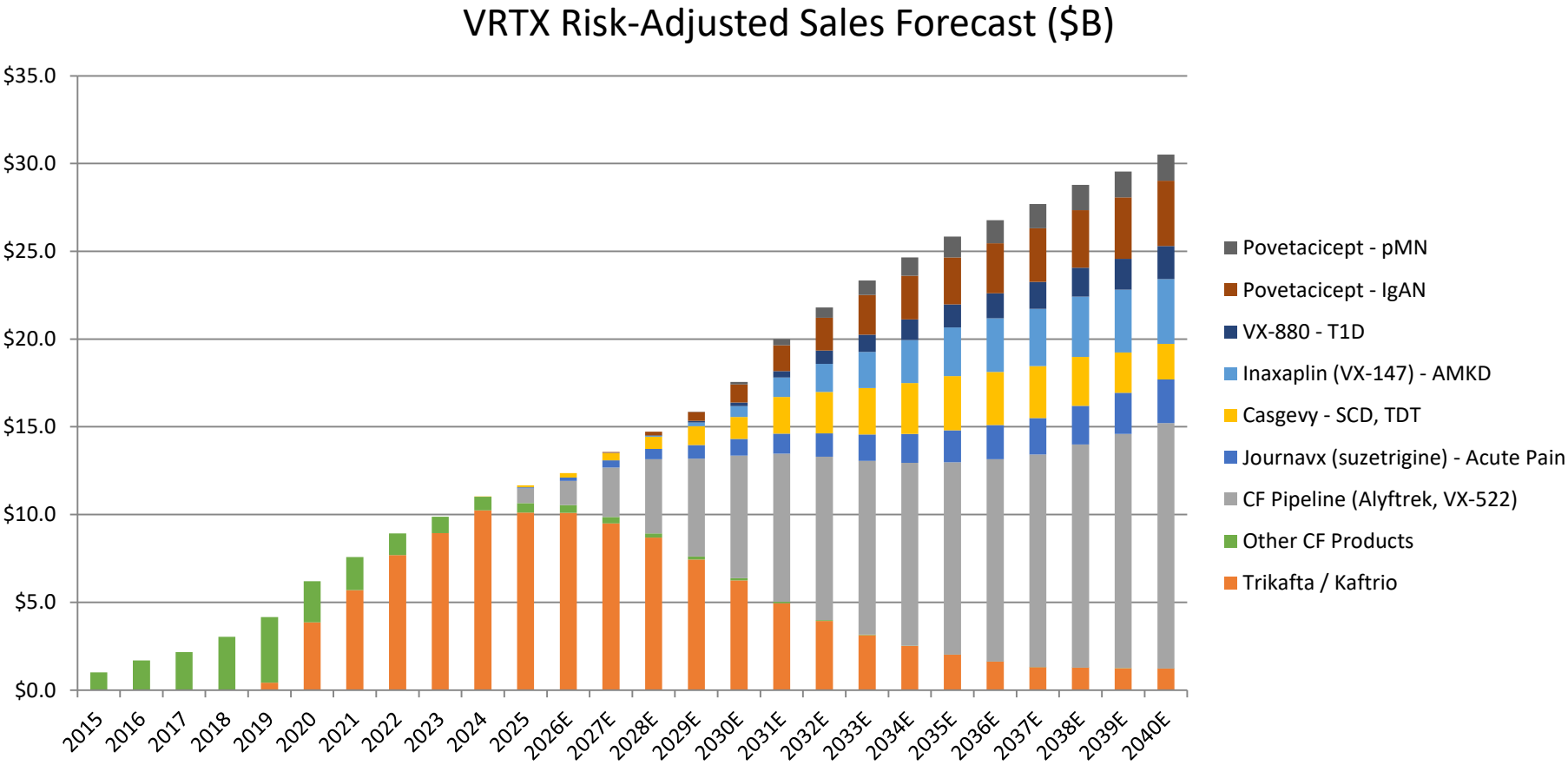
Exhibit 15: Key Catalysts for VRTX in the Near Term

We expect multiple catalysts in the near term with key focus on updates from VRTX’s renal franchise

	Program	Catalyst	Timing	Importance
CF	Trikafta	File for approval in 12 to 24 months patient population	1H26	Low
	Alyftrek	Data in patients aged 2 to 5 years and regulatory filings	2026	Medium
	VK-522	Data from the MAD portion of the Ph1/2 study	2H26	Low
	VX-828	Data in CF patients from the Ph1 study	2H26	Medium
Renal Franchise	Pove	Interim analysis from RAINIER on UPCR at week-36	1H26	High
	Pove	Complete the BLA submission using a priority review voucher	1H26	High
	Pove	Additional read-through from sibeprenlimab and atacicept	2026	Medium
	Pove	Complete Ph2 portion enrollment in the Ph2/3 OLYMPUS study	2H26	Low
	Pove	Initiate a Ph2 study in gMG	1H26	Low
	Inaxaplin	Interim analysis from AMPLITUDE at week-48 in AMKD	late-26/early-27	High
	Inaxaplin	Data from Ph2 AMPLIFIED study in expanded AMKD population	Mid-26	Medium
Others	Casgevy	File for approval in patients aged 5 to 11 years	1H26	Low
	Journavx	Data from Ph3 studies in DNP	late-26/early-27	High
	Zimislecel	Resume dosing following the completion of the internal review	2026	Medium

Source: VRTX Company Information; Oppenheimer Research

Exhibit 16: We Expect VRTX Revenues to Diversify Over Time



- We expect VRTX revenues to continue to grow through the next decade, driven by the renal franchise including pove’s opportunities in IgAN and pMN, as well as inaxaplin in AMKD
- Revenues from non-CF programs expected to contribute ~50% of total revenues by 2035 (vs. current ~1.6% for 2025)
- We also believe VRTX has capacity for additional BD transactions in the range of \$5-10B, as the renal franchise starts to establish

Source: Oppenheimer Research

Exhibit 17: VRTX SOTP Analysis

VRTX's CF franchise remains the key driver of VRTX value, contributing ~\$300/share, while we expect pove and inaxaplin to contribute \$64/share and \$47/share, respectively

Drug/Indication	Expected Launch	Peak Sales Estimate (\$M)	Unadjusted NPV Value (\$M)	Est. Probability of Success	P-Adj NPV (\$M)	P-Adj Value / Share	Relative Contribution to Value
Trikafta / Kaftrio	4Q19	\$10,239	\$20,330	100%	\$20,330	\$79	15%
Other CF Products	1Q15	\$3,741	\$518	100%	\$518	\$2	0%
CF Pipeline (Alyftrek, VX-522)	1Q25	\$14,659	\$56,671	95%	\$54,110	\$211	39%
Journavx (suzetrigine) - Acute Pain	1Q25	\$2,478	\$7,213	100%	\$7,213	\$28	5%
Casgevy - SCD, TDT	3Q24	\$2,832	\$5,188	100%	\$5,188	\$20	4%
Inaxaplin (VX-147) - AMKD	2027E	\$6,163	\$20,007	60%	\$12,004	\$47	9%
VX-880 - T1D	2028E	\$3,751	\$11,669	50%	\$5,835	\$23	4%
Povetacicept - IgAN, pMN	2027E	\$7,936	\$26,183	63%	\$16,364	\$64	12%
Pipeline Value			\$147,779	82%	\$121,563	\$474	88%
Net Cash (YE:2026)			\$16,851	100%	\$16,851	\$66	12%
Total Equity Value			\$164,630	84%	\$138,413	\$540	100%

Source: Oppenheimer Research

Exhibit 18: VRTX DCF Analysis

We reinstall our price target for VRTX at \$540 based on DCF methodology

NPV	69,255
Discount Rate	8.0%
Shares Outstanding	256.5
PV/Share	\$270

Terminal Year	
Terminal Value Growth Rate	-1.0%
Terminal Value	154,223
Present Value of TV	52,507
PV of TV/Share	\$205
Debt	1,753
Cash	18,604
Net Cash/Share	\$66
Equity Value	138,613
Price Target	\$540

Discount Rate	Equity Value Per Share						
	Terminal Value Growth Rate						
	-4%	-3%	-2%	-1%	0%	1%	2%
9.0%	\$438	\$450	\$463	\$479	\$499	\$524	\$556
8.5%	\$460	\$473	\$489	\$508	\$532	\$561	\$600
8.0%	\$485	\$500	\$518	\$540	\$568	\$604	\$652
7.5%	\$511	\$529	\$550	\$577	\$610	\$654	\$714
7.0%	\$541	\$562	\$587	\$618	\$659	\$713	\$788
6.5%	\$574	\$598	\$628	\$666	\$715	\$782	\$880
Average=				\$558			
Average=				\$548			

Vertex Pharmaceuticals (VRTX)

(\$Ms, except per-share data) [FY-Dec]

	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	2026E	2027E	2028E
	Dec22	Dec23	Dec24	Mar25	Jun25	Sep25	Dec25	Dec25	Dec26	Dec27	Dec28
Total Probability-Adj. Product Sales	\$8,930.7	\$9,869.2	\$11,020.1	\$2,760.2	\$2,944.0	\$3,076.4	\$3,190.0	\$11,970.6	\$12,301.8	\$13,449.3	\$14,607.6
Trikafra / Kafrio	\$7,686.8	\$8,944.7	\$10,238.6	\$2,535.5	\$2,551.1	\$2,653.6	\$2,572.5	\$10,312.7	\$10,103.3	\$9,503.4	\$8,683.4
Other CF Products	\$1,243.9	\$924.5	\$771.5	\$155.3	\$193.7	\$139.3	\$156.4	\$644.7	\$432.5	\$354.8	\$246.3
CF Pipeline (Alyftrek, VX-522)	\$0.0	\$0.0	\$0.0	\$53.9	\$156.8	\$247.0	\$380.1	\$837.8	\$1,377.6	\$2,826.0	\$4,225.4
Journavx (suzetrigine) - Acute Pain	\$0.0	\$0.0	\$0.0	\$1.3	\$12.0	\$19.6	\$26.7	\$59.6	\$200.8	\$407.3	\$588.7
Casgevy - SCD, TDT	\$0.0	\$0.0	\$10.0	\$14.2	\$30.4	\$16.9	\$54.3	\$115.8	\$187.7	\$292.4	\$577.3
Inxaplin (VX-147) - AMKD	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$14.4	\$51.4
VX-880 - T1D	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$22.6
Povetacicept (ALPN-303) - IgAN, pMN	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$51.0	\$212.5
Collaboration Revenues	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Royalty Revenues	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Other Revenues	\$0.0	\$0.0	\$0.0	\$10.0	\$20.7	\$0.0	\$0.0	\$30.7	\$0.0	\$0.0	\$0.0
Total revenues (non-GAAP)	\$ 8,930.7	\$ 9,869.2	\$ 11,020.1	\$ 2,770.2	\$ 2,964.7	\$ 3,076.4	\$ 3,190.0	\$ 12,001.3	\$ 12,301.8	\$ 13,449.3	\$ 14,607.6
Cost of Goods Sold (Non-GAAP)	\$ 1,057.9	\$ 1,253.0	\$ 1,502.8	\$ 354.8	\$ 399.9	\$ 407.0	\$ 457.7	\$ 1,619.4	\$ 1,635.4	\$ 1,743.3	\$ 1,823.9
Gross profit (Non-GAAP)	\$ 7,872.8	\$ 8,616.2	\$ 9,517.3	\$ 2,415.4	\$ 2,564.8	\$ 2,669.4	\$ 2,732.3	\$ 10,381.9	\$ 10,666.4	\$ 11,706.0	\$ 12,783.7
Operating expenses:											
Research & Development (Non-GAAP)	\$ 2,217.5	\$ 2,796.7	\$ 3,030.7	\$ 879.6	\$ 878.1	\$ 861.1	\$ 873.3	\$ 3,492.1	\$ 3,634.2	\$ 3,881.3	\$ 3,998.6
Acquired IPR&D (Non-GAAP)	\$ 115.5	\$ 527.1	\$ 4,628.4	\$ 19.8	\$ 2.2	\$ 54.5	\$ 56.5	\$ 133.0	\$ -	\$ -	\$ -
Selling, General, & Administrative (Non-GAAP)	\$ 746.8	\$ 917.8	\$ 1,162.6	\$ 333.0	\$ 359.4	\$ 369.0	\$ 432.3	\$ 1,493.7	\$ 1,696.0	\$ 1,776.2	\$ 1,823.9
Collaboration Expense and Other OpEx (Non-GAAP)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 119.7	\$ 186.2	\$ 367.1
Total operating expenses (Non-GAAP)	\$ 4,137.7	\$ 5,494.6	\$ 10,324.5	\$ 1,587.2	\$ 1,639.6	\$ 1,691.6	\$ 1,819.8	\$ 6,738.2	\$ 7,085.3	\$ 7,587.0	\$ 8,013.6
Operating income (loss) (Non-GAAP)	\$ 4,793.0	\$ 4,374.6	\$ 695.6	\$ 1,833.0	\$ 1,325.1	\$ 1,384.8	\$ 1,370.2	\$ 5,263.1	\$ 5,216.5	\$ 5,862.3	\$ 6,594.0
Interest income	\$ 144.6	\$ 614.7	\$ 598.1	\$ 120.9	\$ 122.4	\$ 125.7	\$ 121.9	\$ 490.9	\$ 606.7	\$ 730.0	\$ 934.2
Interest (expense)	\$ (54.8)	\$ (44.1)	\$ (30.6)	\$ (3.0)	\$ (3.7)	\$ (3.3)	\$ (3.3)	\$ (13.3)	\$ (35.8)	\$ (33.2)	\$ (31.4)
Other income (expense) (Non-GAAP)	\$ (15.7)	\$ (22.2)	\$ (28.4)	\$ (2.6)	\$ 7.8	\$ (7.2)	\$ (0.7)	\$ (2.7)	\$ -	\$ -	\$ -
Earnings before taxes (loss) (Non-GAAP)	\$ 4,867.1	\$ 4,923.0	\$ 1,234.7	\$ 1,298.3	\$ 1,451.6	\$ 1,500.0	\$ 1,488.1	\$ 5,738.0	\$ 5,787.4	\$ 6,559.1	\$ 7,496.9
Income tax expense (benefit) (Non-GAAP)	\$ 1,012.1	\$ 954.9	\$ 1,124.1	\$ 244.2	\$ 282.2	\$ 263.7	\$ 200.9	\$ 991.0	\$ 1,157.5	\$ 1,377.4	\$ 1,574.3
Tax rate (Non-GAAP)	20.8%	19.4%	91.0%	18.8%	19.4%	17.6%	13.5%	17.3%	20.0%	21.0%	21.0%
Net income (loss) (Non-GAAP)	\$ 3,855.0	\$ 3,968.1	\$ 110.6	\$ 1,054.1	\$ 1,169.4	\$ 1,236.3	\$ 1,287.2	\$ 4,747.0	\$ 4,629.9	\$ 5,181.7	\$ 5,922.5
Basic shares outstanding (avg.)	256.1	257.7	257.9	256.9	256.7	255.6	253.9	255.7	254.0	254.0	254.0
Diluted shares outstanding (avg.)	259.1	260.5	260.9	259.5	258.9	257.6	256.1	258.0	256.5	256.5	256.5
Basic EPS (Non-GAAP)	\$ 15.05	\$ 15.40	\$ 0.43	\$ 4.10	\$ 4.56	\$ 4.84	\$ 5.07	\$ 18.56	\$ 18.23	\$ 20.40	\$ 23.32
Diluted EPS (Non-GAAP)	\$ 14.88	\$ 15.23	\$ 0.42	\$ 4.06	\$ 4.52	\$ 4.80	\$ 5.03	\$ 18.40	\$ 18.05	\$ 20.20	\$ 23.09

Source: Company Filings, Oppenheimer & Co. Estimates

ESG CONSIDERATIONS *

ESG Rating	B
ESG Rating Environment	B
ESG Rating Social	B+
ESG Rating Governance	C+

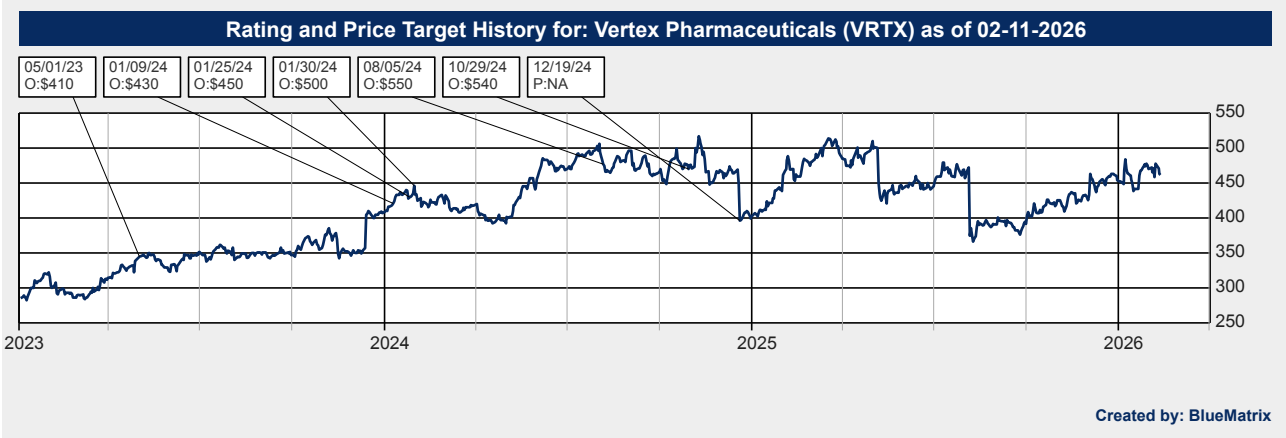
*Environmental/Social/Governance (ESG) scores are courtesy of Refinitiv's ESG product which are designed to transparently and objectively measure a company's relative ESG performance, commitment and effectiveness, based on company-reported data. Refinitiv's ESG ratings are independent of Oppenheimer's stock ratings and are not taken into consideration when assigning a rating. For full details about Refinitiv's ESG scores, please [click here](#)

Disclosure Appendix

Analyst Certification - The author(s) certifies that this research report accurately states his/her personal views about the subject securities, which are reflected in the ratings as well as in the substance of this report. The author(s) certifies that no part of his/her compensation was, is, or will be directly or indirectly related to the specific recommendations or views contained in this research report.

Potential Conflicts of Interest:

Equity research analysts employed by Oppenheimer & Co. Inc. are compensated from revenues generated by the firm including the Oppenheimer & Co. Inc. Investment Banking Department. Research analysts do not receive compensation based upon revenues from specific investment banking transactions. Oppenheimer & Co. Inc. generally prohibits any research analyst and any member of his or her household from executing trades in the securities of a company that such research analyst covers. Additionally, Oppenheimer & Co. Inc. generally prohibits any research analyst from serving as an officer, director or advisory board member of a company that such analyst covers. In addition to 1% ownership positions in covered companies that are required to be specifically disclosed in this report, Oppenheimer & Co. Inc. may have a long position of less than 1% or a short position or deal as principal in the securities discussed herein, related securities or in options, futures or other derivative instruments based thereon. Recipients of this report are advised that any or all of the foregoing arrangements, as well as more specific disclosures set forth below, may at times give rise to potential conflicts of interest.



All price targets displayed in the chart above are for a 12- to- 18-month period. For more information about target price histories, please write to Oppenheimer & Co. Inc., 85 Broad Street, New York, NY 10004, Attention: Equity Research Department, Business Manager.

Oppenheimer & Co. Inc. Rating System:

- Outperform(O)** - Stock expected to outperform the S&P 500 within the next 12-18 months.
- Perform (P)** - Stock expected to perform in line with the S&P 500 within the next 12-18 months.
- Underperform (U)** - Stock expected to underperform the S&P 500 within the next 12-18 months.

Not Rated (NR) - Oppenheimer & Co. Inc. does not maintain coverage of the stock or is restricted from doing so due to a potential conflict of interest.

Distribution of Ratings/IB Services Firmwide				
Rating	IB Serv/Past 12 Mos.			
	Count	Percent	Count	Percent
OUTPERFORM [O]	455	65.94	188	41.32
PERFORM [P]	233	33.77	95	40.77
UNDERPERFORM [U]	2	0.29	0	0.00

Although the investment recommendations within the three-tiered, relative stock rating system utilized by Oppenheimer & Co. Inc. do not correlate to buy, hold and sell recommendations, for the purposes of complying with FINRA rules, Oppenheimer & Co. Inc. has assigned buy ratings to securities rated Outperform, hold ratings to securities rated Perform, and sell ratings to securities rated Underperform.

Note: Stocks trading under \$5 can be considered speculative and appropriate for risk tolerant investors.

Additional Information Available

Company-Specific Disclosures: Important disclosures, including price charts, are available for compendium reports and all Oppenheimer & Co. Inc.-covered companies by logging on to <https://www.oppenheimer.com/client-login.aspx> or writing to Oppenheimer & Co. Inc., 85 Broad Street, New York, NY 10004, Attention: Equity Research Department, Business Manager.

Other Disclosures

This report is issued and approved for distribution by Oppenheimer & Co. Inc. Oppenheimer & Co. Inc. transacts business on all principal exchanges and is a member of SIPC. This report is provided, for informational purposes only, to institutional and retail investor clients of Oppenheimer & Co. Inc. and does not constitute an offer or solicitation to buy or sell any securities discussed herein in any jurisdiction where such offer or solicitation would be prohibited. The securities mentioned in this report may not be suitable for all types of investors. This report does not take into account the investment objectives, financial situation or specific needs of any particular client of Oppenheimer & Co. Inc. Recipients should consider this report as only a single factor in making an investment decision and should not rely solely on investment recommendations contained herein, if any, as a substitution for the exercise of independent judgment of the merits and risks of investments. The analyst writing the report is not a person or company with actual, implied or apparent authority to act on behalf of any issuer mentioned in the report. Before making an investment decision with respect to any security recommended in this report, the recipient should consider whether such recommendation is appropriate given the recipient's particular investment needs, objectives and financial circumstances. We recommend that investors independently evaluate particular investments and strategies, and encourage investors to seek the advice of a financial advisor. Oppenheimer & Co. Inc. will not treat non-client recipients as its clients solely by virtue of their receiving this report. Past performance is not a guarantee of future results, and no representation or warranty, express or implied, is made regarding future performance of any security mentioned in this report. The price of the securities mentioned in this report and the income they produce may fluctuate and/or be adversely affected by exchange rates, and investors may realize losses on investments in such securities, including the loss of investment principal. Oppenheimer & Co. Inc. accepts no liability for any loss arising from the use of information contained in this report, except to the extent that liability may arise under specific statutes or regulations applicable to Oppenheimer & Co. Inc. All information, opinions and statistical data contained in this report were obtained or derived from public sources believed to be reliable, but Oppenheimer & Co. Inc. does not represent that any such information, opinion or statistical data is accurate or complete (with the exception of information contained in the Important Disclosures section of this report provided by Oppenheimer & Co. Inc. or individual research analysts), and they should not be relied upon as such. All estimates, opinions and recommendations expressed herein constitute judgments as of the date of this report and are subject to change without notice. Nothing in this report constitutes legal, accounting or tax advice. Since the levels and bases of taxation can change, any reference in this report to the impact of taxation should not be construed as offering tax advice on the tax consequences of investments. As with any investment having potential tax implications, clients should consult with their own independent tax adviser. This report may provide addresses of, or contain hyperlinks to, Internet web sites. Oppenheimer & Co. Inc. has not reviewed the linked Internet web site of any third party and takes no responsibility for the contents thereof. Each such address or hyperlink is provided solely for the recipient's convenience and information, and the content of linked third

party web sites is not in any way incorporated into this document. Recipients who choose to access such third-party web sites or follow such hyperlinks do so at their own risk.

This research is distributed in the UK and elsewhere throughout Europe, as third party research by Oppenheimer Europe Ltd, which is authorized and regulated by the Financial Conduct Authority (FCA). This research is for information purposes only and is not to be construed as a solicitation or an offer to purchase or sell investments or related financial instruments. This research is for distribution only to persons who are eligible counterparties or professional clients. It is not intended to be distributed or passed on, directly or indirectly, to any other class of persons. In particular, this material is not for distribution to, and should not be relied upon by, retail clients, as defined under the rules of the FCA. Neither the FCA's protection rules nor compensation scheme may be applied. <https://opco2.bluematrix.com/sellside/MAR.action>

Distribution in Hong Kong: This report is prepared for professional investors and is being distributed in Hong Kong by Oppenheimer Investments Asia Limited (OIAL) to persons whose business involves the acquisition, disposal or holding of securities, whether as principal or agent. OIAL, an affiliate of Oppenheimer & Co. Inc., is regulated by the Securities and Futures Commission for the conduct of dealing in securities and advising on securities. For professional investors in Hong Kong, please contact researchasia@opco.com for all matters and queries relating to this report.

ESG Scores: ESG scores from Refinitiv are designed to transparently and objectively measure a company's relative ESG performance, commitment and effectiveness, based on company-reported data. This covers 10 main themes including emissions, environmental product innovation, human rights, shareholders and so on. Ratings are available on close to 10,000 companies globally, with time-series data going back to 2002. The percentile rank scores are simple to understand and transparent. They are benchmarked against The Refinitiv Business Classifications (TRBC – Industry Group) for all environmental and social categories, as well as the controversies score. They are also measured against the country of incorporation for all governance categories.

Please note that all ESG ratings are independent of Oppenheimer stock ratings. They are intended to provide supplemental information regarding ESG for our covered companies. ESG ratings do not have any impact on the stock rating.

This report or any portion hereof may not be reprinted, sold, or redistributed without the written consent of Oppenheimer & Co. Inc. Copyright © Oppenheimer & Co. Inc. 2026.